CASCADIA ANALYTICS

Mitek Systems, Inc.

Equity Research Note | MITK | 22 OCTOBER 2026

Fraud Tailwind Is Real

Mitek Systems screens as a Hold with a $17.74 blended target, 1% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$17.86	$17.74	-1%	HOLD

Investment Thesis

Fraud Tailwind Is Real. AI-assisted and synthetic identity fraud is driving bank demand; F&I SaaS grew 37% in FQ3 and the Check Fraud Defender consortium is compounding at 50%+ [Q3'26 call]. Execution Is Best-in-Small-Cap. Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering [Q3'26 8-K]. Fairly Priced, Not Cheap. At $17.86 [Mkt 16-Oct-26], the DCF base $17.50 sits 2% below the price. The setup is a

- Fraud Tailwind Is Real
- Execution Is Best-in-Small-Cap
- Fairly Priced, Not Cheap

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The latest print

Execution Is Best-in-Small-Cap. Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering.

Fairly Priced, Not Cheap. At $17.86, the DCF base $17.50 sits 2% below the price. The setup is a quality small cap at a fair price, not a bargain. Wait for weakness or an FQ4 beat to add.

$54.0M	$29.0M	+37%	38.5%	$0.34	46%
REVENUE (FQ3 2026)	F&I REVENUE (FQ3 2026)	F&I SAAS GROWTH (FQ3)	ADJ. EBITDA MARGIN (FQ3)	NON-GAAP EPS (FQ3)	SAAS MIX (LTM REVENUE)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (FQ3 2026)	$54.0M	+18.2%	Up
F&I Revenue (FQ3 2026)	$29.0M	+14%	Up
F&I SaaS Growth (FQ3)	+37%	+22 pts est.	Up
Adj. EBITDA Margin (FQ3)	38.5%	+9.9 pts	Up
Non-GAAP EPS (FQ3)	$0.34	+65%	Up
SaaS Mix (LTM revenue)	46%	+5 pts	Up
FY2026 Revenue Guide	$189-198M	~+8% mid	Up

The moat

AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification

The growth engine

Check Fraud Defender consortium network: ACV >$19M, +50% YoY, top-5 US bank joined, FICO partnership

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Mitek Systems, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$240M	25.5%	**$14.48**	-19%
Base	50%	9.0%	$279M	26.4%	**$17.50**	-2%
Bull	25%	12.0%	$311M	28.8%	**$21.49**	+20%

Bear: downside case at $14.48 (-19%).

Base: central case at $17.50 (-2%).

Bull: upside case at $21.49 (+20%).

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The probability-blended target implies 1% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -1% from the $17.86 reference price.

$17.74
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$198M**
Valuation horizon	**2026-2030**
Live WACC	**9.66%**
Terminal growth	**2.0% / 2.5% / 3.0%**
Net cash	**$50.3M**
2030 FCF (Base)	**$65.8M**
10-year Treasury yield	**5.0%**
Beta	**0.98**
Equity risk premium	**3.5%**

HOLD | $17.74 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 9.2%, at/above Base (9%) — constructive.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$0.4B	$9.44	+10%	$0.8B	$18.34	+30%	$1.6B	$33.27
-9%	$0.4B	$9.77	+11%	$0.9B	$18.93	+31%	$1.6B	$34.22
-8%	$0.4B	$10.12	+12%	$0.9B	$19.53	+32%	$1.7B	$35.18
-7%	$0.5B	$10.47	+13%	$0.9B	$20.15	+33%	$1.7B	$36.17
-6%	$0.5B	$10.84	+14%	$1.0B	$20.78	+34%	$1.8B	$37.18
-5%	$0.5B	$11.21	+15%	$1.0B	$21.43	+35%	$1.8B	$38.21
-4%	$0.5B	$11.60	+16%	$1.0B	$22.09	+36%	$1.9B	$39.26
-3%	$0.5B	$12.00	+17%	$1.1B	$22.77	+37%	$1.9B	$40.34
-2%	$0.6B	$12.41	+18%	$1.1B	$23.47	+38%	$2.0B	$41.44
-1%	$0.6B	$12.83	+19%	$1.1B	$24.19	+39%	$2.0B	$42.56
+0%	$0.6B	$13.27	+20%	$1.2B	$24.92	+40%	$2.1B	$43.71
+1%	$0.6B	$13.72	+21%	$1.2B	$25.67			
+2%	$0.6B	$14.18	+22%	$1.2B	$26.44			
+3%	$0.7B	$14.65	+23%	$1.3B	$27.23			
+4%	$0.7B	$15.13	+24%	$1.3B	$28.03			
+5%	$0.7B	$15.63	+25%	$1.4B	$28.86			
+6%	$0.7B	$16.15	+26%	$1.4B	$29.70			
+7%	$0.8B	$16.67	+27%	$1.4B	$30.56			
+8%	$0.8B	$17.22	+28%	$1.5B	$31.45			
+9%	**$0.8B**	**$17.77**	+29%	$1.5B	$32.35			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$654M	—	2.0%	$50.3M	$704M	**$14.48**
Base	$800M	—	2.5%	$50.3M	$851M	**$17.50**
Bull	$994M	—	3.0%	$50.3M	$1.04B	**$21.49**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 74.2% of Base enterprise value (Bear 70.9%, Bull 77.2%). The terminal WACC is 9.66% in Base (Bear 9.66%, Bull 9.66%), on a terminal beta of N/A (Bear N/A, Bull N/A).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$14.48	$15.88	$16.39	$16.90	$17.40	$17.89
Base	$17.50	$19.19	$20.03	$20.85	$21.63	$22.37
Bull	$21.49	$23.57	$24.83	$26.06	$27.23	$28.32

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $17.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification

Check Fraud Defender consortium network: ACV >$19M, +50% YoY, top-5 US bank joined, FICO partnership

SaaS transition: 46% of LTM revenue vs 40% a year ago; F&I SaaS growing high-teens to 20%

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$33.3M	$144.8M	$172.6M	$172.1M	$179.7M
Net Margin	5.4%	2.6%	4.7%	1.9%	4.9%
FCF Margin	116.4%	13.8%	17.7%	17.6%	30.2%

Valuation cross-check

P/E (fwd) 13.5x

DCF Base $17.50

PEG 1.38

DCF implies 2% downside. Reasonable absolute multiple for a growing software name.

Identity-verification peer multiples not collected

Screened vs small-cap SaaS comps

EV/Revenue of 3.2x NTM is below typical SaaS multiples, partly reflecting the legacy check mix.

P/E 82.6x TTM (GAAP) vs 13.5x NTM

Long-run multiple history not collected

GAAP TTM P/E is distorted by one-offs; NTM figure reflects the true run-rate.

What to monitor

10 Dec 2026. FQ4 2026 Earnings (Positive): Fiscal year ended Sep 30; guide was $189-198M full-year revenue. Tests whether raised outlook was conservative.

2027. Check Fraud Defender Expansion (Positive): FICO partnership plus top-5 US bank joining the consortium; ACV already >$19M and up 50%+ YoY.

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2027. SaaS Mix Crossing 50% (Positive): SaaS at 46% of LTM revenue vs 40% a year ago; continued shift improves revenue visibility and multiple.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$120M	—	$13M	—
2022	$145M	$125M	$14M	$27M
2023	$173M	$150M	$18M	$38M
2024	$172M	$148M	$4M	$25M
2025	$180M	$153M	$18M	$37M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$420M	$227M	$193M	$30M
2022	$364M	$194M	$171M	$32M
2023	$405M	$200M	$205M	$59M
2024	$414M	$199M	$215M	$93M
2025	$459M	$219M	$240M	$154M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$37M	$1M	$144M	$39M
2022	$21M	$-1M	$-21M	$20M
2023	$32M	$-1M	$2M	$31M
2024	$32M	$-1M	$-26M	$30M
2025	$55M	$-1M	$-2M	$54M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $17.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 55 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 3.52% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $2.42M of sales, a net flow of -$2.42M. One-year total shareholder return is +88.5% against CEO total pay of $1.51M (Mr. Edward H. West), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	3.52% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $2.42M (2), net -$2.42M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +88.5%; Mr. Edward H. West, CEO & Director, total pay $1.51M
Agency Risk Score	**55 / 100**	Regime: BALANCED / TYPICAL CORPORATE

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-05-15	Gafke Garrett	Chief Operating Officer	SELL	21,108	$299.5K
2026-04-28	Gafke Garrett	Chief Operating Officer	SELL	152,529	$2.12M

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SEC proxy audit, DEF 14A filed 2026-01-26

Alignment grade C. COMPENSATION DATA NOT PROVIDED. Edward H. West, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided excerpt terminates in the director nominee biographies and does not contain the Compensation Discussion and Analysis or Summary Compensation Table located on pages 36 through 51. While operational highlights show 5% revenue growth and $54 million in free cash flow for fiscal 2025, specific executive pay figures cannot be quantified from this text. As a result, bonus metrics, equity incentive realization, and committee alignment with TSR cannot be assessed.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/807863/000162828026003469/mitk-20260126.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Legacy Check Decline

Check Verification revenue was +24% in FQ3 on renewal timing but is a structurally declining legacy base at ~$90M TTM. Renewal lumpiness can produce sudden quarterly air pockets.

Lumpy License Revenue

Biometrics license activity drove the F&I beat but is explicitly lumpy; management warned it steps down sequentially in the back half of the year.

Small-Cap Competition

A ~$730M small cap competing against larger fraud and identity platforms. Thin analyst coverage (3 analysts) means less institutional support and higher volatility.

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The strengths

Operating Quality

Software economics with ~80-85% gross margins, FCF conversion ~70% of adjusted EBITDA, and a strengthened balance sheet ($100M+ cash/investments). Offset by small scale ($180M revenue), lumpy license revenue, and a limited moat against larger fraud vendors.

Recent Trend

Eight straight quarterly EPS beats. FQ3: revenue +18% (beat +6.3%), record adjusted EBITDA margin 38.5% (up from 28.6%), guidance raised again. Stock popped 18% on the print but sits below its 50-day average, so momentum has cooled.

Forward Growth

AI-driven fraud tailwind is real and durable: F&I revenue +14-28%, SaaS mix rising to 46%. But the company guides only ~8% total growth at the FY26 midpoint, and the legacy Check Verification base (~$90M TTM) is structurally soft.

Valuation

DCF base $17.50 implies 2% downside at $17.86; reverse DCF prices in 9.1% CAGR, just above the base case (9%) and well above the bear case (5%). NTM P/E 13.5x with PEG 1.38 is reasonable but not cheap. Roughly fairly priced. Terminal value is a single Gordon perpetuity on 2030 free cash flow at the scenario terminal growth rate (2.0% bear, 2.5% base, 3.0% bull); there is no exit-multiple leg. The present value of terminal value is 70.9% of enterprise value in the bear case, 74.2% in the base case and 77.2% in the bull case. The WACC build's after-tax cost of debt now uses the model's own 26% cash tax rate for the interest tax shield (corrected 2026-10-22; a hard-coded 21% template rate understated the shield), moving WACC from 9.68% to 9.66%.

Cascadia scorecard

Composite score 66: Attractive. Confidence Medium, as of 16-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Software economics with ~80-85% gross margins, FCF conversion ~70% of adjusted EBITDA, and a strengthened balance sheet ($100M+ cash/ investments). Offset by small scale ($180M revenue), lumpy license revenue, and a limited moat against larger fraud vendors.	70
Recent Trend	Eight straight quarterly EPS beats. FQ3: revenue +18% (beat +6.3%), record adjusted EBITDA margin 38.5% (up from 28.6%), guidance raised again. Stock popped 18% on the print but sits below its 50-day average, so momentum has cooled.	78
Forward Growth	AI-driven fraud tailwind is real and durable: F&I revenue +14-28%, SaaS mix rising to 46%. But the company guides only ~8% total growth at the FY26 midpoint, and the legacy Check Verification base (~$90M TTM) is structurally soft.	66
Valuation	DCF base $17.50 implies 2% downside at $17.86; reverse DCF prices in 9.1% CAGR, just above the base case (9%) and well above the bear case (5%). NTM P/E 13.5x with PEG 1.38 is reasonable but not cheap. Roughly fairly priced. Terminal value is a single Gordon perpetuity on 2030 free cash flow at the scenario terminal growth rate (2.0% bear, 2.5% base, 3.0% bull); there is no exit-multiple leg. The present value of terminal value is 70.9% of enterprise value in the bear case, 74.2% in the base case and 77.2% in the bull case. The WACC build's after-tax cost of debt now uses the model's own 26% cash tax rate for the interest tax shield (corrected 2026-10-22; a hard-coded 21% template rate understated the shield), moving WACC from 9.68% to 9.66%.	55
Catalysts & Risk	FQ4 earnings Dec 10 test the raised guide; Check Fraud Defender consortium and FICO partnership add enterprise credibility. Biometrics license revenue is lumpy and management warned it steps down in the back half. Small-cap execution risk with thin coverage (3 analysts).	64

Investment view

A FQ4 beat with FY27 guidance pointing to sustained mid-teens F&I growth would lift Forward Growth and justify a re-rating. A license-driven miss or further Check Verification deterioration would cut Trend and Valuation.

Investment view: Hold. The $17.74 blended target implies -1%, balancing the $14.48 / $17.50 / $21.49 Bear / Base / Bull outcomes.

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